

Amendment No. 2 to SB1014

White
Signature of Sponsor

AMEND Senate Bill No. 1014

House Bill No. 698*

by deleting all language after the enacting clause and substituting instead the following:

SECTION 1. Tennessee Code Annotated, Section 49-13-136(c), is amended by adding the language "or child care agencies, as defined in § 49-2-141," after the language "one (1) or more public charter schools" in subdivision (1) and by adding the language "or child care agency" after the language "used by a public charter school" in subdivision (1).

SECTION 2. Tennessee Code Annotated, Title 49, Chapter 2, Part 1, is amended by adding the following as a new section:

49-2-141. Child care agencies use of underutilized and vacant properties.

(a) As used in this section:

(1) "Child care agency" means a child care agency, as defined in § 71-3-501, that is licensed to operate in this state and that is owned and operated by one (1) or more individuals who do not own or operate the child care agency as a corporation domiciled in this or another state;

(2) "Underutilized property" has the same meaning as defined in § 49-13-104; and

(3) "Vacant property" has the same meaning as defined in § 49-13-104.

(b) An LEA in which one (1) or more child care agencies operate shall submit a comprehensive listing of all underutilized property or vacant property to the department of human services and the comptroller of the treasury. The department shall make an LEA's list available to each child care agency operating in the LEA.

(c) The owner or operator of a child care agency may petition the comptroller of the treasury for an audit of the list of all underutilized property or vacant property submitted by the LEA in which the child care agency operates. The comptroller of the treasury is authorized to promulgate rules, in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, for the administration of this section.

(d)

(1)

(A) Except as provided in subdivision (d)(1)(B), the owner of a child care agency that is operating in an LEA that does not have one (1) or more public charter schools operating within its geographic boundaries, has a right of first refusal to:

(i) Purchase vacant property listed by the LEA pursuant to subsection (b) at or below fair market value for child care purposes; or

(ii) Lease underutilized property or vacant property listed by the LEA pursuant to subsection (b) at or below fair market value for child care purposes. A lease agreement executed between the owner or operator of a child care agency and an LEA must not reflect any outstanding bonded debt on the underutilized property or vacant property, except as agreed upon to reflect costs associated with the occupation or remodeling of the facility.

(B)

(i)

(a) If a prospective charter school sponsor has submitted, pursuant to § 49-13-107(a), a letter of intent to submit an application to operate a public charter school in the LEA in which the child care agency is located and has

notified the local board of education for the LEA in writing of its interest in leasing or purchasing certain underutilized property or vacant property listed by the LEA pursuant to subsection (b) if the prospective charter school sponsor's application is approved, then the owner of a child care agency does not have a right of first refusal pursuant to subdivision (d)(1)(A) for the underutilized property or vacant property for which the prospective charter school sponsor has expressed an interest in its written notice to the local board pursuant to this subdivision (d)(1)(B)(i)(a).

(b) If a sponsor, as defined in § 49-13-104, has filed an application to operate a public charter school in the LEA in which the child care agency is located and has notified the local board of education for the LEA in writing of its interest in leasing or purchasing certain underutilized property or vacant property listed by the LEA pursuant to subsection (b) if the sponsor's application is approved, then the owner of a child care agency does not have a right of first refusal pursuant to subdivision (d)(1)(A) for the underutilized property or vacant property for which the sponsor has expressed an interest in its written notice to the local board pursuant to this subdivision (d)(1)(B)(i)(b).

(ii)

(a) The owner of a child care agency regains the owner's right of first refusal pursuant to subdivision (d)(1)(A) for the underutilized property or vacant property for which a prospective charter school sponsor has

expressed an interest in its written notice to the LEA's local board of education pursuant to subdivision (d)(1)(B)(i)(a) if the prospective charter school sponsor does not file an application to operate a public charter school in the LEA.

(b) The owner of a child care agency regains the owner's right of first refusal pursuant to subdivision (d)(1)(A) for the underutilized property or vacant property for which a sponsor, as defined in § 49-13-104, has expressed an interest in its written notice to the LEA's local board of education pursuant to subdivision (d)(1)(B)(i)(b) if the sponsor's application to operate a public charter school in the LEA has been denied in a final decision.

(2)

(A) Except as provided in subdivision (d)(2)(B), if one (1) or more public charter schools operate in the same LEA in which a child care agency operates, then the owner of a child care agency operating in the LEA has a right of second refusal to purchase vacant property or lease underutilized property or vacant property listed by the LEA in the same manner and to the same extent as provided in subdivision (d)(1)(A).

(B)

(i)

(a) If a prospective charter school sponsor has submitted, pursuant to § 49-13-107(a), a letter of intent to submit an application to operate a public charter school in the LEA in which the child care agency is located and has notified the local board of education for the LEA in writing of its interest in leasing or purchasing certain underutilized

property or vacant property listed by the LEA pursuant to subsection (b) if the prospective charter school sponsor's application is approved, then the owner of a child care agency does not have a right of second refusal pursuant to subdivision (d)(2)(A) for the underutilized property or vacant property for which the prospective charter school sponsor has expressed an interest in its written notice to the local board pursuant to this subdivision (d)(2)(B)(i)(a).

(b) If a sponsor, as defined in § 49-13-104, has filed an application to operate a public charter school in the LEA in which the child care agency is located and has notified the local board of education for the LEA in writing of its interest in leasing or purchasing certain underutilized property or vacant property listed by the LEA pursuant to subsection (b) if the sponsor's application is approved, then the owner of a child care agency does not have a right of second refusal pursuant to subdivision (d)(2)(A) for the underutilized property or vacant property for which the sponsor has expressed an interest in its written notice to the local board pursuant to this subdivision (d)(2)(B)(i)(b).

(ii)

(a) The owner of a child care agency regains the owner's right of second refusal pursuant to subdivision (d)(2)(A) for the underutilized property or vacant property for which a prospective charter school sponsor has expressed an interest in its written notice to the LEA's local board of education pursuant to subdivision (d)(2)(B)(i)(a) if

the prospective charter school sponsor does not file an application to operate a public charter school in the LEA.

(b) The owner of a child care agency regains the owner's right of second refusal pursuant to subdivision

(d)(2)(A) for the underutilized property or vacant property for which a sponsor, as defined in § 49-13-104, has expressed an interest in its written notice to the LEA's local board of education pursuant to subdivision (d)(2)(B)(i)(b) if the sponsor's application to operate a public charter school in the LEA has been denied in a final decision.

(e)

(1) Upon the execution of a lease agreement pursuant to this section, the owner or operator of the child care agency has unrestricted use of the property; provided, that the property must be used to provide child care services. The owner or operator of the child care agency shall provide for routine maintenance and repair so that the leased property is maintained in as good of order as when the lease was executed. The owner or operator of the child care agency is responsible for paying all utilities used by the child care agency at the leased property. Extensive repairs to buildings or facilities considered capital expenses are the responsibility of the LEA funding body and not the child care agency. If the owner or operator of the child care agency makes extensive repairs to buildings or facilities considered capital expenses, then the capital expenses must be credited against the cost of the lease. Any fixtures, improvements, or tangible assets added to leased property by the owner or operator of the child care agency pursuant to this section must remain at the leased property upon the child care agency's return of the leased property to the LEA.

(2) If the LEA elects to sell the school building that the child care agency is leasing, then the owner of the child care agency must be provided the right of first refusal to purchase the school building at or below fair market value for child care purposes, as described in subdivision (g)(1), less the value of all rental payments made to the LEA during the term of the lease.

(3) If, during the term of the lease, the child care agency closes or ceases using the building, then the building must be placed on the LEA's vacant or underutilized property list pursuant to this section.

(f) If, after the purchase of vacant or underutilized property from an LEA pursuant to this section, the child care agency closes or ceases using the property, then the LEA has the right of first refusal to purchase the property from the owner of the child care agency at or below fair market value for child care purposes. This subsection (f) does not require the owner of a child care agency to sell any property other than the property sold to the owner of the child care agency by the LEA pursuant to this section, if the LEA elects to exercise its right of first refusal.

(g) For purposes of this section:

(1) Fair market value for child care purposes is determined by taking the average of two (2) separate appraisals conducted by two (2) independent, qualified appraisers, one (1) selected by the LEA and one (1) selected by the owner of the child care agency; and

(2) A final decision on a public charter school application is made when the authorizer or the Tennessee public charter school commission on appeal issues the ultimate, unappealable decision to approve or deny the public charter school application after the sponsor, as defined in § 49-13-104, has exhausted all available options to amend the application or appeal a denial of the application.

(h) The comptroller of the treasury may promulgate rules for the administration of this section. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(i) This section is not intended to frustrate an LEA's ability to plan for the use of underutilized or vacant properties owned or operated by the LEA. In any LEA in which a child care agency operates, the LEA shall submit each year its plans for the use of underutilized or vacant properties owned or operated by the LEA in its annual report to the department of human services and the comptroller of the treasury.

SECTION 3. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 4. This act takes effect July 1, 2025, the public welfare requiring it.